Precious Comment: Strong Central Bank Buying in May Provides Price Floor Amidst Likely Temporary Rates Pressure

- Our GS nowcast estimates central bank purchases at 81 tonnes for May (67 tonnes/month on a 3-month (seasonally adjusted) basis vs. pre-2022 average of 17 tonnes). The recent re-acceleration in our nowcast—with a large contribution from China—suggests that central bank buying is likely to provide a price floor amidst likely temporary downside gold price pressure from hawkish Fed pricing.
- We continue to see elevated central bank gold accumulation as a multi-year trend, as central banks diversify their reserves to hedge geopolitical and financial risks, consistent with recent survey evidence. We maintain our assumption of average monthly central bank buying of 50 tonnes in 2026 and 40t/month in 2027.
- Structurally, EM central bank diversification—following the 2022 freezing of Russia's reserves—remains the anchor of our $4,900/toz end-2026 forecast. Cyclically, however, gold faces near term headwinds from the potential hit to demand for macro policy hedges (as a hawkish Fed reduces investor focus on the debasement theme) and as markets are pricing in Fed hikes this year amid inflation concerns, weighing on rate-sensitive ETF demand. We expect the Fed-related headwind to reverse over time, as our economists expect no Fed rate hikes.
- Over the medium term, risks to our price forecast remain skewed to the upside. Gold's share in private portfolios remains low, and recent geopolitical developments—including Iran and broader tensions—may accelerate diversification beyond central banks to private investors, including by weighing on perceptions of Western fiscal sustainability.

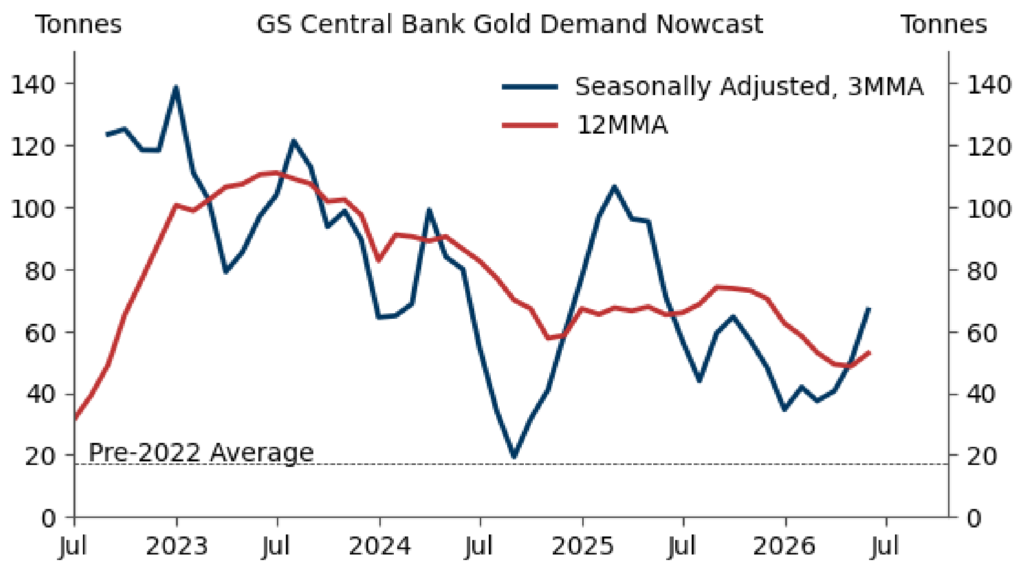
Lina Thomas
+1(212)902-8376 | lina.thomas@gs.com
Goldman Sachs & Co. LLC

Daan Struyven
+1(212)357-4172 |
daan.struyven@gs.com
Goldman Sachs & Co. LLC

Strong Central Bank Buying in May Provides Price Floor Amidst Likely Temporary Rates Pressure

Our GS nowcast estimates central bank purchases at 81 tonnes for May (67 tonnes/month on a 3-month (seasonally adjusted) basis vs. pre-2022 average of 17 tonnes). The recent re-acceleration in our nowcast—with a large contribution from China—suggests that central bank buying is likely to provide a price floor amidst likely temporary downside gold price pressure from hawkish Fed pricing.

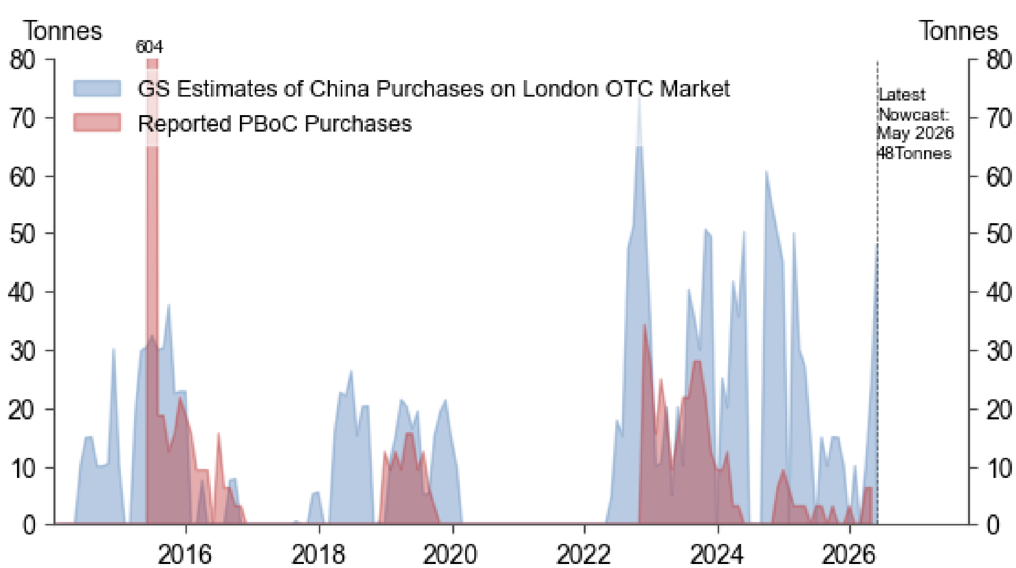
Exhibit 1: Our GS Nowcast Estimates Central Bank Purchases at 81 Tonnes for May



Source: Goldman Sachs Global Investment Research

China was the largest identifiable buyer in May at 48 tonnes (Exhibit 2).

Exhibit 2: China Was the Largest Identifiable Buyer In May At 48 Tonnes

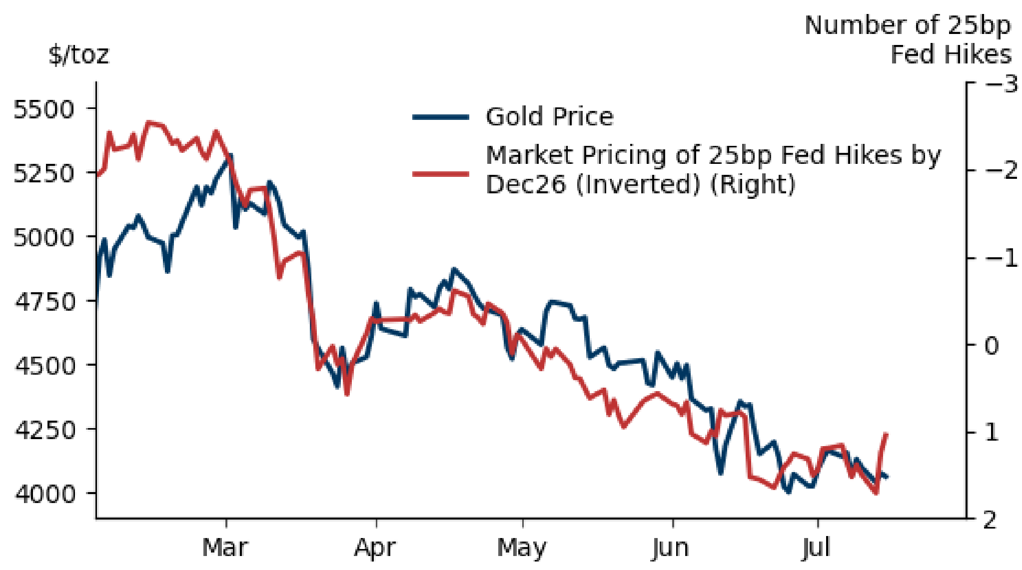


Source: IFS, UK HMRC, Goldman Sachs Global Investment Research

We continue to see elevated central bank gold accumulation as a multi-year trend, as central banks diversify their reserves to hedge geopolitical and financial risks, consistent with recent survey evidence. The 2026 OMFIF survey[1] suggests that while diversification remains the most commonly cited reason for gold purchases among reserve managers, protection against geopolitical risk was selected by 51% of respondents, up 11pp from 2024. With 79% of reserve managers believing the global monetary system is transitioning toward a more multipolar structure — leading to greater geopolitical fragmentation —, uncertainty over the international monetary system remains another key factor in favor of gold purchases. We maintain our assumption of average monthly central bank buying of 50 tonnes in 2026 and 40t/month in 2027. As in prior years, we expect central bank gold purchases to slow over the summer before reaccelerating from September.

Structurally, EM central bank diversification—following the 2022 freezing of Russia's reserves—remains the anchor of our $4,900/toz end-2026 forecast. Cyclically, however, gold faces near term headwinds from the potential hit to gold demand for macro policy hedges (as a hawkish Fed helps fade the debasement theme) and as markets are pricing in a Fed hike this year amid inflation concerns (Exhibit 3), weighing on rate-sensitive ETF demand.

Exhibit 3: Gold Continues to Face Near-Term Headwinds, as Markets Are Pricing in Fed Hikes Amid Energy-Driven Inflation,



Source: Bloomberg, LBMA, Goldman Sachs Global Investment Research

We expect the Fed-related headwind to reverse over time, as our economists continue to see no rate hikes, but an ongoing and delayed easing cycle in 2027. Over the medium term, risks to our forecast remain skewed to the upside. Gold's share in private portfolios remains low, and recent geopolitical developments—including Iran and broader tensions—may accelerate diversification beyond central banks to private investors, including by weighing on perceptions of Western fiscal sustainability.

[1] The 2026 OMFIF survey was conducted between March and May and included responses from 74 central banks across all regions: 30 from Europe, 15 from Latin America, 13 from Asia Pacific, 13 from Sub-Saharan Africa, two from the Middle East, and one from North America.

Disclosure Appendix

Reg AC

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Contributing Authors: Lina Thomas Goldman Sachs & Co. LLC, Daan Struyven Goldman Sachs & Co. LLC.

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